

Expenditures & Revenues Study Committee

March 17, 2026

Agenda

- Background
- Considerations: Capacity to Pay
- Full Committee Recommendations
- Schools Subcommittee Report
- Town Subcommittee Report
- Future Subcommittee Report
- Questions & Discussion

Background-Why Are We Here?

- Structural deficit
 - Property taxes represent 73% of Brookline's revenues
 - Tax growth statutorily restricted by Proposition 2 ½
 - Expense growth is unrestricted
 - Unfunded mandates from TM; collectively bargained contract terms
- Fiscal challenges across Massachusetts
 - Inflation
 - Health insurance premiums
 - Pension/OPEB liabilities
- Efforts made to date by Town and Schools
 - Town reductions of 5 FTEs even with an override
 - School reductions of 22.1 FTEs even with an override
 - Three-year structural deficit of \$7.95M for the Town and \$17.94M for Schools despite these efforts (a total of \$25.89M)

Forecasted Structural Deficit FY27-FY29

	FY27	FY28	FY29
Forecasted Revenue	\$440,247,086	\$451,740,309	\$465,538,831
Forecasted Revenue For Allocation	\$247,021,997	\$247,746,045	\$247,713,806
Town	\$101,762,426	\$102,576,943	\$103,086,505
Schools	\$145,259,571	\$145,169,102	\$144,627,301
 Forecasted Expenses			
Town	\$102,969,169	\$107,635,079	\$111,037,555
Schools	\$149,801,901	\$155,314,303	\$162,571,740
 Town Deficit	\$ (1,206,743)	\$ (5,058,136)	\$ (7,951,050)
School Deficit	\$ (4,542,330)	\$ (10,145,201)	\$ (17,944,439)
Total Deficit	\$ (5,749,073)	\$ (15,203,337)	\$ (25,895,489)

Considerations: Capacity to Pay (1 of 2)

Housing Costs in Brookline - as of 2024 without subsequent impacts of debt exclusions, overrides – Housing costs greater than 30% of household income accepted measure of housing cost burden

- Taxes affect both owners and renters – tax pass-through in standard rental agreement
- **Owners:** Well over three thousand (3,352, or 26%) pay > 30% of household income for housing; almost three thousand (2,778 or 22%) pay > 35%
- **Senior owners:** Well over a thousand (1,250 or 27%) pay > 30%; over one thousand (1,062 or 23%) pay > 35%
- **Renters:** Well over six thousand (6,653 or 47%) pay > 30%; well over five thousand (5,341 or 38%) pay > 35%
- **Senior renters:** Almost one thousand – or one-half (966 or 49.9%) pay > 30%; over 700 (736 or 38%) pay > 35%.

Considerations: Capacity to Pay (2 of 2)

Taxes in Brookline (FY15 to FY26) - Rapidly escalating on all types of properties – taxes are a cost element highly visible to voters (annual tax bills, rent escalators).

- Area inflation up 36.7%
- Taxes on median condominium up 53%; 2-family 85%; 3-family 78%; 4+ 78%; single-family 97%
- Taxes on median condominium up \$1,726; 2-family \$8,776; 3-family \$9,006; 4+ \$18,903; single-family \$10,409

- **Voters Will Decide**

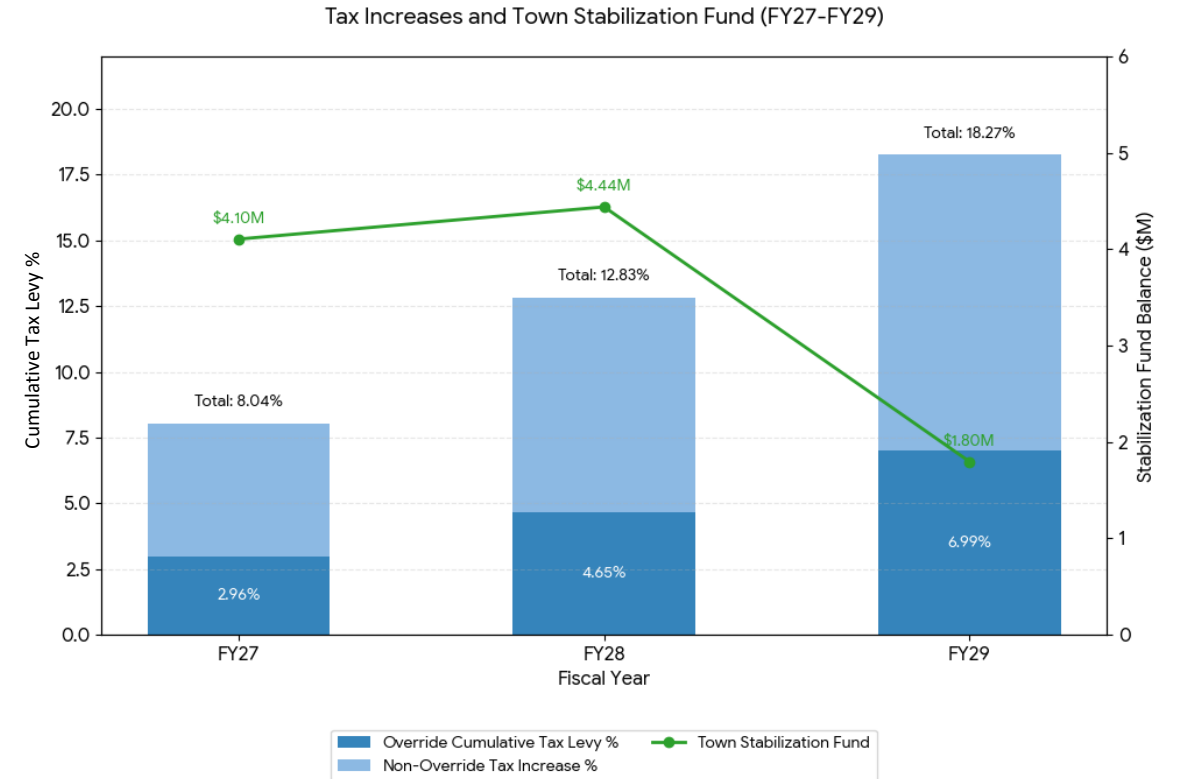
- Minimize likelihood of a total override failure – with impacts on Town and School services; Town credit rating
- Minimize personal hardships – with forced dislocations, including long-term seniors; forced liens, tax levies, second mortgages
- Offer tiers: full override “ask” but also lower amount – give voters the choice

Full Committee Recommendations: Option 1

- Put only the entire **\$23.25M** combined override asks (\$5.31M for Town Services and \$17.94M for Schools) on the ballot
- The incremental override tax levy is **6.99%**, with a total increase of **18.27%** over three years
- Considerations for the Select Board
 - The money would be raised on a schedule that matches that proposed by the Town and Schools respectively
 - The Town has requested that their three-year need be raised up-front in FY27 and held in a reserve fund until it is needed
 - The Schools have requested that their funds be raised on a schedule consistent with the forecasted need in each of the next three fiscal years (consistent with prior overrides)
 - The overall ramp would be more gradual, and therefore less jarring for taxpayers

Option 1 Financials

	FY27	FY28	FY29	Total
Forecasted Revenue	\$ 440,247,086	\$ 451,740,309	\$ 465,538,831	
Forecasted Revenue For Allocation	\$ 247,021,997	\$ 247,746,045	\$ 247,713,806	
Town	\$ 101,762,426	\$ 102,576,943	\$ 103,086,505	
Schools	\$ 145,259,571	\$ 145,169,102	\$ 144,627,301	
Forecasted Expenses				
Town	\$ 102,969,169	\$ 107,635,079	\$ 111,037,555	
Schools	\$ 149,801,901	\$ 155,314,303	\$ 162,571,740	
Town Deficit	\$ (1,206,743)	\$ (5,058,136)	\$ (7,951,050)	
School Deficit	\$ (4,542,330)	\$ (10,145,201)	\$ (17,944,439)	
Total Deficit	\$ (5,749,073)	\$ (15,203,337)	\$ (25,895,489)	
Override Levy	\$ 9,852,330	\$ 15,455,201	\$ 23,254,439	
<i>Override Levy Allocated to Town</i>	\$ 5,310,000	\$ 5,310,000	\$ 5,310,000	
Funds Used for Town Services	\$ 1,206,743	\$ 5,058,136	\$ 7,951,050	
Town Stabilization Fund	\$ 4,103,257	\$ 4,437,186	\$ 1,796,136	
<i>Override Levy Allocated to Schools</i>	\$ 4,542,330	\$ 10,145,201	\$ 17,944,439	
Funds Used for Schools Services	\$ 4,542,330	\$ 10,145,201	\$ 17,944,439	
Schools Stabilization Fund	\$ (0)	\$ (0)	\$ (0)	
Regular Levy % Increase	5.08%	3.10%	3.10%	11.28%
Override Levy % Increase	2.96%	1.68%	2.35%	6.99%
Total Cumulative Tax % Increase	8.04%	12.83%	18.27%	

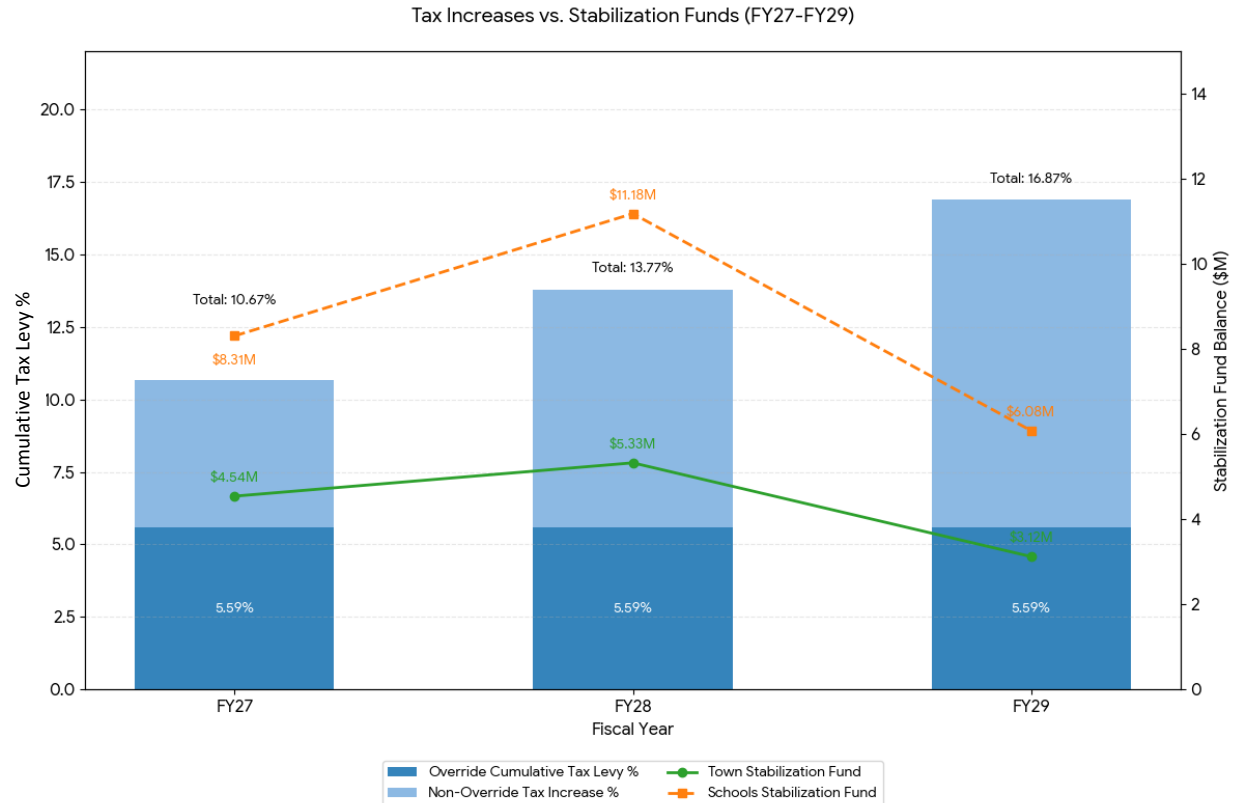


Full Committee Recommendations: Option 2

- Front-load the tax levy increase in FY27, while covering the full FY27-29 deficit for the Town and Schools
- The override amount would be reduced by \$4.65M to **\$18.6M** with an incremental override tax levy of **5.59%**, and **16.89%** total over three years
 - This approach would result in a larger initial raise but a lower total override number
 - The excess initial revenue raised would be placed in an interest-bearing reserve/stabilization fund for use in future years by both the Town and the Schools
- Considerations for the Select Board
 - The overall number is lower but dollars raised is higher due to immediate increase in levy
 - Funds the full deficit from Town and Schools
 - Residual \$9M in stabilization funds could mitigate funding needs in FY30 (dependent on TM, SC, SB and others honoring reserve fund restrictions)
 - Immediate increase in the tax levy may be more jarring for taxpayers than the gradual ramp in Option 1
 - The stabilization fund structure is new for Brookline and will require education

Option 2 Financials

	FY27	FY28	FY29	Total
Forecasted Revenue	\$ 440,247,086	\$ 451,740,309	\$ 465,538,831	
Forecasted Revenue For Allocation	\$ 247,021,997	\$ 247,746,045	\$ 247,713,806	
Town	\$ 101,762,426	\$ 102,576,943	\$ 103,086,505	
Schools	\$ 145,259,571	\$ 145,169,102	\$ 144,627,301	
Forecasted Expenses				
Town	\$ 102,969,169	\$ 107,635,079	\$ 111,037,555	
Schools	\$ 149,801,901	\$ 155,314,303	\$ 162,571,740	
Town Deficit	\$ (1,206,743)	\$ (5,058,136)	\$ (7,951,050)	
School Deficit	\$ (4,542,330)	\$ (10,145,201)	\$ (17,944,439)	
Total Deficit	\$ (5,749,073)	\$ (15,203,337)	\$ (25,895,489)	
Override Levy	\$ 18,600,000			
<i>Override Levy Allocated to Town</i>	\$ 5,750,000	\$ 5,750,000	\$ 5,750,000	
Funds Used for Town Services	\$ 1,206,743	\$ 5,058,136	\$ 7,951,050	
Town Stabilization Fund	\$ 4,543,257	\$ 5,325,986	\$ 3,124,936	
<i>Override Levy Allocated to Schools</i>	\$ 12,850,000	\$ 12,850,000	\$ 12,850,000	
Funds Used for Schools Services	\$ 4,542,330	\$ 10,145,201	\$ 17,944,439	
Schools Stabilization Fund	\$ 8,307,670	\$ 11,178,622	\$ 6,084,184	
Regular Levy % Increase	5.08%	3.10%	3.10%	11.28%
Override Levy % Increase	5.59%	0.00%	0.00%	5.59%
Total Cumulative Tax % Increase	10.67%	13.77%	16.87%	



Full Committee Recommendations: Option 3

- Give voters options by adding tiers to the ballot question, applied to Option 1 or Option 2
 - The Select Board would provide taxpayers with the option of choosing to fund all, none, or some intermediate amount (or amounts) of the override requests.
 - The Town and the PSB would provide the Select Board with a list prioritizing the reductions they have identified in any intermediate tiers between the “all” and “none” scenarios, with corresponding dollar amounts
- **The Committee strongly recommends Option 3**
 - Brookline voters should have a choice in how and how much they agree to fund critical Town and School services, while also considering the implications to residents and the Town’s financial status of a failed override
 - The Committee recommends that the Select Board adopt the Schools Subcommittee recommendation to create an MOU to work towards an improved cost structure
- Considerations for the Select Board
 - This option prevents an “all or nothing” choice on the May ballot
 - Any intermediate tiers should be framed in a neutral manner
 - The Committee did not have enough information to recommend specific interim tiers to the Select Board

Schools Subcommittee

Override Ask Summary (from PSB*)

PSB has presented a (mostly) level service budget for FY27, with 22.1 FTE in reductions and revenue generating initiatives (non-resident special education tuition, BEEP tuition, materials fee tuition, facility rental study in FY27)

Efficiencies	Restorations	Improvements	Other Adjustments
- OAF restructuring - Early retirement incentive - Right-sizing due to enrollment - Right sizing of admin, materials, computer leases, coaches - Special Education caseload adjustments - In-town transportation	- Director of Data and Information Systems - OTL copier leases (unintentionally omitted in FY26) - Professional/ Curriculum development (subsequently reduced to FY25 levels on Feb. 26) - Computer leases (deferred for FY26) - Transportation (structural deficit) - Stipends (structural deficit)	- K-8 math curriculum renewal (\$265,000) - Google workspace (\$54,000) - Science Curriculum Review (Cost Neutral) - Vision of a Learner (Cost Neutral) - Seal of Biliteracy (Cost Neutral) - Career & Technical Education - Engineering (Cost Neutral) - Chemical Hygiene Safety Plan Development (Cost Neutral) - BHS Curriculum Articulation Work (Cost Neutral) - World Language Curriculum Work (Cost Neutral) - ELA Curriculum Dev. (Cost Neutral) - SS Curriculum Training (Cost Neutral)	- Anticipated loss of Title II, III, and IV (\$277,126) in federal grants (some funds restored on Feb. 26) - Furniture, Fixtures and Equipment (\$75K historically carried in Capital Improvements, moved to operating budget) - Tuition, Transportation, Health Services contracted services, etc.

* Note: The Schools Subcommittee did not have time to do a deep dive into the reductions for the override or the failed override scenario therefore this information is taken from the PSB financials summary in the E&RSC final report, and questions would need to be directed to PSB staff.

Failed Override Scenario Summary (from PSB*)

FY 2027

- 58.2 FTEs cut (on top of 22.1 planned already)

Cuts include:

- Grade 1 classroom aides (13 FTE)
- 6-8 world languages (15 FTE)
- Classroom/guidance staff (15.6 FTE)
- Central office (2.6 FTE)

FY 2028-2029

- Additional staff reduction of ~130 FTE, predominantly classroom teachers
 - 46 at BHS
 - 84 PreK-8
- All K-8 after school sports, clubs, band, orchestra, drama, homework clubs, etc. eliminated or fee-based
- Athletic programming reduced and fees would rise significantly
- South Brookline bus service eliminated (previously subsidized by fees, which were removed with 2023 operating override)
- Could result in compliance, certification, and legal issues

* Note: The Schools Subcommittee did not have time to do a deep dive into the reductions for the override or the failed override scenario therefore this information is taken from the PSB financials summary in the E&RSC final report, and questions would need to be directed to PSB staff.

Schools Subcommittee Recommendations Summary

- Due to limited capacity from PSB administration and budget numbers being shared (December 18th)
 - Focused on analysis it could do independently or with limited data from PSB
- Acknowledge PSB's difficult circumstances and progress they have made
 - Right-sizing staff for enrollment
 - Opening PSB programs to tuition-paying students from other communities
- Subcommittee is supportive of an override with an agreement that the Town, School Committee, and PSB commit to the Select Board to undertake several cost and revenue-related efforts

Recommended Commitments (1 of 2)

1. PSB and Town administration collaborate to negotiate a reduced healthcare premium contribution by the Town, for Town and PSB employees, to align this contribution with that of comparable communities by end of calendar year 2028.
2. Create an approach through which the Schools manage wage expenses to a level approaching projected year-over-year revenue growth, including considering caps on wage increases or other creative contractual terms.
3. Evaluate an updated school model, to look at cost savings through classroom consolidation, including a possible middle school model or more robust classroom consolidation with possible redistricting, starting in FY27.
4. Complete the work included in the Town/School MOU from October 2025 with respect to using MUNIS as the town-wide financial system of record in partnership with the Town Finance department; PSB and the Town should work together to resolve any gaps needed to ensure that PSB can use MUNIS effectively by the end of fiscal 2027.
5. Ensure teaching assignments align with contractual terms, while maintaining necessary student support programming. Given time constraints, The E&RSC Schools Subcommittee was unable to determine if all teachers are currently working to the level of the contract.

Recommended Commitments (2 of 2)

6. Evaluate further cutting additional technology leases (e.g. by moving to shared Chromebooks or less online work overall) and educational technology subscriptions, especially in lower grades, after considering impact to educational objectives at each grade level.
7. Agree that all third-party users of space in school buildings between the hours of 7:00 AM and 5:30 PM enter into rental agreements with the PSB using its best efforts to negotiate fair market rates, including reimbursement for maintenance and utility costs .
8. Commit to conducting a pilot in partnership with the Town to test a more coherent model of facilities governance and youth athletics coordination.
9. Agree to review BEEP financials and work to bring the Revolving Fund portion of the program to a level as close to break-even on a full-cost allocated basis, including salaries, benefits and charges for administrative overhead, facility maintenance, depreciation, and debt service, if applicable and as the market will support.

Other Analysis & Recommendations

- CLA Report Follow up
- Town/School Financial Model
- Enrollment Forecasts

CLA Report Follow-Up

- The Subcommittee reviewed the CLA report, memos from the School Committee, the Town/School MOU from October 2025, and PSB documentation on progress across all areas identified by CLA
- There has been material progress on the areas identified in the Town/School MOU
- The Subcommittee did not have the specialized knowledge (e.g. HR policies) to validate several of the CLA recommendations
- CLA has been engaged to conduct a follow-up review and has committed to complete their report and provide an update to the SB by March 31, 2026

Town/School Financial Model

- Subcommittee formed in summer never completed its work
- Recommend reviving group to evaluate options
 - Is our approach optimal?
 - Provide more clarity and transparency with above and below the line costs
 - Provide more accountability
 - Evaluate consolidation of departments and establish clear relationships across departments via MOUs
 - Evaluate utility of establishing Special Ed reserve fund

Enrollment Forecasts

- Current PSB model is accurate looking out one year but is retrospective
- Model does not incorporate demographic and economic trends
 - Renders model unsuitable for longer term forecasting
- PSB has retained outside parties for longer-term forecasting
 - Forecasts assume certain policy, demographic and economic variables/brackets impacting consumer behavior
 - Mortgage rates, mortality/fertility, housing turnover, employment, buffer zone policy, etc.
 - Forecasts have proven accurate over periods longer than one year
 - Accuracy will decline as forecast ages
- Recommend School Committee add a policy to obtain independent forecast every three years
 - Could be update to existing work or a new analysis

Town Subcommittee

Savings and New Revenue in 2027

Savings

- | | |
|----------------------------|---------|
| • Eliminate 5 FTE's | 425,500 |
| • Reduce CIP to 6% | 876,000 |
| • Level Fund OPEB's | 100,000 |
| • Reduce Elections Fund | 100,000 |
| • Reduce Contract Services | 66,000 |

Total

1,567,000

New Fees

460,000

Override Proposal: Continuity of Service

• Miscellaneous Departments	1,275,000
• Fire Department: contract and overtime	1,710,000
• Police Department: positions and software	900,000
• DPW: tree protection and sustainability positions	625,000
• COA: transportation and administrative support	175,000
• Building Department: maintenance	150,000
• IT Licenses	125,000
• Collective Bargaining Reserve	350,000
Total	5,310,000

Cuts Without an Override

- 17.4 FTE's + services, supplies and part-time staff in 2027
- 20 Firefighters (one engine) in 2028
- 5 FTE's in 2029

Future Subcommittee

Future Subcommittee Focus

- Future Subcommittee focused on initiatives that would benefit the town outside of the 3 year override window
- Work was organized by cost reduction/avoidance, revenue increasing opportunities, and other analysis
 - Solar Initiative
 - Electrical Demand Management
 - School Model Analysis (referenced in Schools Subcommittee commitments)
 - Economic Development
 - OPEB Policy

Solar Initiative

- Committee recommends approval of Sustainability Division's \$3.2 million initiative
 - With tax credits, costs could be reduced to \$1.8-\$2.1 million
- First step of a continuing solar investment for Brookline
 - Offers degree of control over ever increasing electricity usage and costs
 - Initiative projected to supply additional 13% of current usage
 - Provides an annual cost avoidance of \$390,000
 - Provides a twenty-five year IRR ranging from 14%-24% depending on electricity cost inflation and size of tax credits

Electric Demand Management

- Demand charge is a cost added to standard usage cost per kWh
 - Based on peak usage during any 15-minute period in billing cycle
 - Added to every kWh in monthly cycle; represents 25%-40% of total charge
- Can be mitigated several ways, including:
 - Spreading loads by controlling when certain pieces of equipment allowed to turn on
 - Battery system charged during non-peak load periods
 - Stored power used to run equipment, reducing load on utility
 - Systems available, reliable and cost-effective

Economic Development

- Leadership and staffing
 - Select Board roles
 - TA evaluation of staffing, reporting
- Education (For SB, TM and relevant Boards and Commissions)
- Comprehensive plan
 - Urge consensus and identification of geographic areas for commercial development, affordable housing, etc.
 - On completion, SB instruct TA to implement systematic effort to revise Zoning By-Law
- Planning Board authorities
 - Allow grant authority for small/intermediate scale special permits

OPEBs

- Recommend SB not lock itself in Sept. 25 OPEB policy document
- SB appoint, by January 2027) a committee to evaluate OPEB policy including
 - Whether in 2031 OPEB policy should be increased to make up for prior deferred contributions and lost rate of return on those deferrals
 - OPEB policy should be modified to institute, consider or address:
 - Establishing a date certain for full funding of OPEB unfunded liability
 - Establish such a policy subject to limiting annual contribution to greater of FY30 contribution or a defined % of prior year levy
 - Consider using portion of funds freed if policy is changed to
 - Bring Town % funding of reserves into top decile of MA Aaa communities
 - Any other Town fiscal objective
- Any adjustment subject to discussions with Moody's and financial advisors and conclusion Town's Aaa rating not be meaningfully impacted